

Canada Bread Company, Limited

Management's Discussion and Analysis

For the Year Ended

December 31, 2013

MANAGEMENT'S DISCUSSION AND ANALYSIS

FEBRUARY 26, 2014

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or the "Company"), 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products and frozen par-baked products. The Company employs approximately 5,400 people at its operations across North America and in the U.K.

OPERATING SEGMENTS

The Company reports in two segments: Fresh Bakery and Frozen Bakery.

The Fresh Bakery segment produces fresh bakery products, including breads, rolls, and bagels sold to retail, foodservice, and convenience channels. The Frozen Bakery segment is comprised of frozen par-baked bakery products sold in North America and the U.K. bakery businesses which specialize in bagels and croissants.

FINANCIAL OVERVIEW

Canada Bread sales[(i)] decreased 1.7% to $1,453.6 million, or 0.9% after adjusting for discontinued categories in the U.K. and the impact of currency translation on sales in the U.S. and U.K. Lower sales volumes in the fresh bread and North American frozen bakery businesses were partly offset by stronger volumes in the U.K. and higher pricing across all the businesses.

Adjusted Operating Earnings[(i)(ii)] increased 8.0% to $127.1 million in 2013 from $117.7 million last year driven by operating efficiencies at the fresh bread and North American frozen bakery businesses, lower selling, general, and administrative costs, higher pricing, and higher volumes in the U.K. bakery business. These benefits were partly offset by lower volumes, primarily in the fresh bread business, and rising raw material and inflationary costs.

Adjusted Earnings per Share[(i)(iii)] increased to $3.60 per share in 2013 from $3.31 per share in 2012. Net earnings from continuing operations was $85.0 million ($3.35 basic earnings per share) compared to $75.5 million ($2.97 basic earnings per share) in 2012.

Notes:

(i) 2012 figures have been restated for the classification of the Olivieri business as discontinued operations, and the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"). Refer to Notes 20 and 28, respectively, in the Company's audited consolidated financial statements.

(ii) Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Non-IFRS Financial Measures on page 23.

(iii) Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share, adjusted for all items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Non-IFRS Financial Measures on page 23.

SELECTED FINANCIAL INFORMATION

The following table summarizes selected financial information for the three years ended December 31:

($ millions except earnings per share ("EPS ") figures)	**2013**	2012 [i]	2011 [i]
Sales	**$ 1,453.6**	$ 1,479.2	$ 1,499.0
Adjusted Operating Earnings [ii]	**$ 127.1**	$ 117.7	$ 96.4
Net earnings from continuing operations	**$ 85.0**	$ 75.5	$ 42.1
Basic and diluted EPS from continuing operations	**$ 3.35**	$ 2.97	$ 1.66
Adjusted EPS [ii]	**$ 3.60**	$ 3.31	$ 3.05
Total assets	**$ 1,138.6**	$ 970.0	$ 971.2
Net Debt (Cash) [ii]	**$ (317.7)**	$ (87.1)	$ (52.0)
Total long-term liabilities	**$ 79.4**	$ 85.2	$ 78.9
Cash provided by operating activities	**$ 189.0**	$ 109.1	$ 103.1
Dividends declared per share	**$ 10.00**	$ 1.70	$ 0.66

[i] *2012 and 2011 figures have been restated for the classification of the Olivieri business as discontinued operations, and for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"). Refer to Notes 20 and 28, respectively, in the audited consolidated financial statements.*

[ii] *Please refer to the section entitled Non-IFRS Financial Measures starting on page 23 of this document for a description of all non-IFRS financial measures.*

RECENT DEVELOPMENTS

On February 12, 2014, the Company announced that Grupo Bimbo, S.A.B. de C.V. of Mexico ("Grupo Bimbo") had agreed to acquire all of the issued and outstanding common shares of the Company by way of a statutory arrangement under the Business Corporations Act (Ontario) (the "Arrangement"). Under the terms of the Arrangement, Grupo Bimbo has agreed to acquire each common share of the Company for $72.00 per share in cash or $1.83 billion in aggregate pursuant to the terms of an arrangement agreement dated February 11, 2014 between the Company and Grupo Bimbo (the "Arrangement Agreement").

Under the terms of the Arrangement Agreement, the Company is permitted to continue to pay quarterly dividends of up to $0.75 per common share until the closing of the transaction (pro-rated for the actual number of days in the quarter in which the transaction closes). The Arrangement will require the approval of at least 66$^{2/3}$% of the votes cast by the shareholders of Canada Bread at a special meeting of shareholders expected to take place in early April 2014. Maple Leaf has entered into a voting support agreement with Grupo Bimbo pursuant to which Maple Leaf has agreed to vote all of its common shares of Canada Bread in favour of the Arrangement at such meeting.

The Arrangement is also subject to receipt of court approval, regulatory approvals (including Competition Act (Canada) and Investment Canada Act approvals and Hart Scott Rodino approval in the United States) and other customary closing conditions. Subject to the satisfaction or waiver of the conditions to the Arrangement, the transaction is expected to close in the second quarter of 2014.

DISCUSSION OF FACTORS IMPACTING THE COMPANY'S OPERATIONS AND RESULTS

Fluctuating Input Prices

Changes in input prices have a significant influence on both the Company and the food industry. Wheat, dairy products, and fuel constitute the primary input costs in the Company's operations.

The price of wheat has fluctuated in the past several years. In the second half of 2010, wheat prices rose by approximately 75% and continued to stay at similar levels for 2011 and 2012. In 2013, wheat prices began to decline towards pre-2010 levels, and on average had decreased by 11% compared to 2012. As the Company utilizes forward contracts as part of its hedging strategy, the benefits of the decline in wheat costs are expected to largely be realized in the first half of 2014.

The following table outlines the changes in key commodity prices that have impacted the Company's business and financial results:

	As at December 31, 2013	Annual averages			
	2013	2013	2012	Change	2011
Wheat (US$ per bushel) [(i)]	**$ 6.35**	**$ 7.70**	$ 8.67	(11.2%)	$ 9.07
Wheat (CAD per bushel) [(i)]	**$ 6.76**	**$ 7.92**	$ 8.66	(8.6%)	$ 8.97
Oil (US$ per barrel) [(ii)]	**$ 98.17**	**$ 97.91**	$ 94.11	4.0%	$ 94.88
US$ / CAD exchange rates [(iii)]	**$ 0.9402**	**$ 0.9715**	$ 1.0007	(2.9%)	$ 1.0117

(i) *Daily close prices (Source: Minneapolis Wheat Exchange and Bank of Canada).*

(ii) *Daily closes prices (Source: Cushing, OKWTI Spot Prices FOB).*

(iii) *Daily closes prices (Source: Bank of Canada).*

Decline in North American Commercial Bread Demand

Underlying consumer demand for commercial bread products continued to remain weak in 2013 as overall volumes decreased 1% compared to last year. The declines are largely in white and whole wheat pantry bread, as concerns regarding health, weight, nutrition, and gluten have influenced consumer demand. In response, the Company has undertaken a number of initiatives to increase profitable sales including launching healthier breads with reduced calories and carbohydrates; new consumer communication and packaging; introducing gluten-free breads; and introducing "better-for-you" breads with vegetables, higher protein, higher fibre, and "no fat no sugar" products to appeal to health conscious consumers. In addition, the Company supports the Healthy Grains Institute, established to provide the public with factual information on the benefits, for most Canadians, of eating wheat and whole grains as part of a healthy balanced diet. The Company is also focused on increasing market share in categories that are growing, such as certain specialty breads.

SUPPLY CHAIN STRATEGY

To accelerate earnings growth and support new product innovation, the Company has consolidated production from several older and smaller bakeries into scale facilities and is simplifying its product mix to increase operating efficiencies and is focusing on fewer, higher margin and higher volume products.

In the fresh bread operations, an extensive network of mid-sized facilities located across Canada created the opportunity to consolidate some bakeries to drive efficiencies and provide additional capacity to support innovation and category expansion. In January 2010, the Company announced plans to build a new efficient fresh bakery in southwestern Ontario, replacing three existing older and smaller facilities located in that region. In mid-2011, the Company commissioned this state-of-the-art 385,000 square foot fresh bakery in Hamilton, Ontario. By 2013, construction of the bakery was complete, with a total investment of approximately $110 million. Three bakeries in the Greater Toronto Area were closed to consolidate production into the Hamilton facility – two bakeries in the first quarter of 2012 and the third in the second quarter of 2013. During the fourth quarter of 2011, the fresh bread business also decommissioned and transferred production from its Delta, British Columbia location to other bakeries to increase plant network efficiencies. The Company further consolidated production in 2013 by closing its bakery in Grand Falls, New Brunswick, a bakery in Edmonton, Alberta, and its bakery in Shawinigan, Québec in the first half of the year.

The Company also streamlined operations in its North American frozen bakery and U.K. bakery businesses. In March 2011, the Company closed its frozen bakery in Laval, Québec, and transferred production to other facilities. The Company closed its bakery in Walsall, U.K. in March 2012, and its bakery in London, U.K. in April 2013, as part of a plan to focus production in its core categories of bagels and croissants. The Company is constructing an expansion to its Rotherham facility in the U.K. to meet increased demand for bagels, which is expected to be completed in early 2014.

SYSTEM CONVERSION

The Company has embarked on an initiative to consolidate its information technology systems onto a single platform in order to standardize processes, reduce costs, and enhance business intelligence. Management selected SAP software as its new platform and has since taken a rapid, yet carefully designed, approach to implementation. Successful execution has been enabled by changing existing business practices to standardized SAP processes, limiting any software modifications, and rigorous master data controls. By the end of 2013, SAP had been fully installed across the Company, with the exception of the order management system in Québec and Ontario in the fresh bread business.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ Millions)	**2013**	2012	Change	2011
Fresh Bakery [i]	**$ 940.0**	$ 971.7	-3.3%	$ 990.6
Frozen Bakery	**513.5**	507.6	1.2%	508.4
Total Sales [ii]	**$ 1,453.6**	$ 1,479.2	-1.7%	$ 1,499.0

[i] *Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

[ii] *May not add due to rounding.*

The following table summarizes Adjusted Operating Earnings by business segment:

($ Millions)	**2013**	2012 [i]	Change	2011 [i]
Fresh Bakery [ii]	**$ 88.7**	$ 93.9	-5.6%	$ 87.3
Frozen Bakery	**38.5**	23.8	61.6%	9.1
Adjusted Operating Earnings [iii]	**$ 127.1**	$ 117.7	8.0%	$ 96.4

[i] *2012 and 2011 figures have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"). Refer to Note 28 in the audited consolidated financial statements.*

[ii] *Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

[iii] *May not add due to rounding.*

Fresh Bakery

Includes fresh bakery products, including breads, rolls, and bagels sold to retail, foodservice, and convenience channels. It includes the Dempster's® national brand and many leading regional brands.

Fresh Bakery sales decreased 3.3% to $940.0 million compared to $971.7 million last year, as lower volumes were partly offset by the benefit of a price increase taken in the first quarter of 2013.

Adjusted Operating Earnings decreased 5.6% to $88.7 million from $93.9 million last year, as lower volumes were largely offset by lower costs resulting from operating efficiencies at the Hamilton, Ontario bakery, simplification of the product portfolio, and reorganization of the distribution network. Lower selling, general, and administrative expenses also contributed to earnings, largely resulting from earlier restructuring initiatives. The benefit of price increases implemented earlier in the year was offset by higher raw material and inflationary costs.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice, and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales increased 1.2% to $513.5 million, or 3.7% after adjusting for discontinued categories in the U.K. and the impact of currency translation on sales in the U.S. and U.K. The increase was due to higher pricing coupled with higher volumes in the U.K. that were partly offset by a decline in volumes in the North American Frozen bakery business.

Adjusted Operating Earnings increased 61.6% to $38.5 million compared to $23.8 million last year, primarily driven by higher pricing across the segment, operating improvements in the North American frozen bakery business, and increased volumes at the U.K. bakery business. These benefits were partly offset by the impact of lower volumes at the North American frozen bakery business and higher raw material and inflationary costs.

SALE OF OLIVIERI BUSINESS

During the fourth quarter, the Company sold its Olivieri fresh pasta business for net proceeds of $116.3 million. The operating results and gain on sale of this business have been classified as discontinued operations and prior year amounts have been presented as discontinued operations on a comparable basis. The Olivieri business was previously reported in the Fresh Bakery segment. Earnings per share from discontinued operations were $2.85 for the year ended December 31, 2013 (2012: a loss of $0.16). Included in the 2013 figure was net gain on sale of the business in the amount of $2.87 per share.

GROSS MARGIN

Gross margin increased to $305.0 million (21.0% of sales) in 2013 from $300.8 million (20.3% of sales) last year. The increase was driven by improved operating efficiencies at the fresh and North American frozen bakery businesses and higher pricing across the Company that more than offset rising raw material and inflationary costs.

SELLING, GENERAL, AND ADMINISTRATIVE EXPENSES

Selling, general, and administrative expenses in 2013 decreased 2.9% to $177.8 million from $183.1 million in 2012, representing 12.2% and 12.4% of sales, respectively. The decrease was due to lower costs in the fresh bread business resulting from earlier restructuring initiatives.

OTHER INCOME/EXPENSE

Other income for 2013 was $6.3 million compared to $1.6 million last year. Other income in 2013 primarily consisted of an $11.4 million gain on the sale of a fresh bakery plant classified as an investment property that was previously closed in the first quarter of 2012, as well as a $1.8 million gain on sale of other property, plant, and equipment. These gains were partly offset by $5.6 million of impairment charges related to a bakery facility in the U.K. and an investment property, as well as $2.1 million in vacancy costs (net of rental income) on investment properties.

Certain items in other income are excluded from the calculation of Adjusted Earnings per Share as they are not considered representative of on-going operational activities of the business. Other income used in the calculation of Adjusted Earnings per Share for 2013 is $0.2 million compared to $1.6 million in 2012.

RESTRUCTURING AND OTHER RELATED COSTS

$ thousands	**2013**	2012
FRESH BAKERY		
Management structure changes		
Severance	**$ 7,937**	$ 69
Site closing and other costs	**–**	146
Retention	**88**	–
	$ 8,025	$ 215
Bakery closures		
Severance	**$ 2,171**	$ 702
Site closing and other costs	**330**	1,232
Asset impairment and accelerated depreciation	**1,382**	1,869
Retention	**573**	443
Pension	**(414)**	270
	$ 4,042	$ 4,516
FROZEN BAKERY		
Management structure changes		
Severance	**$ 766**	$ –
Bakery closures		
Severance	**$ –**	$ 503
Site closing and other costs	**5,126**	2,398
Asset impairment and accelerated depreciation	**(6)**	3,441
	$ 5,120	$ 6,342
Total restructuring and other related costs	**$ 17,953**	$ 11,073

Negative amounts reflect adjustments to provisions and reversals of previously recorded impairments.

A brief description of the projects is as follows:

Management Structure Changes

The Company has recorded restructuring and other related costs pertaining to organizational delayering and changes to its management structure.

Bakery Closures

During the year ended December 31, 2013, the Company recorded charges in connection with the closure of bakeries in: Grand Falls, New Brunswick; Edmonton, Alberta; Toronto, Ontario; and Shawinigan, Québec.

During the year ended December 31, 2012, the Company recorded charges in connection with the closure of two bakeries in the U.K.; two bakeries in Toronto, Ontario; and a bakery in Delta, British Columbia. Additionally, the Company recorded charges related to other restructuring initiatives, including the closure of two distribution centres in Québec.

Impairment

During the year ended December 31, 2013, the Company recorded $0.1 million (December 31, 2012: $0.4 million) of impairment of fixed assets through restructuring and other related costs.

During the years ended December 31, 2013 and 2012, the Company recorded no reversals of impairment through restructuring and other related costs.

INTEREST EXPENSE

Interest expense, net of interest income, for 2013 was $1.0 million compared to $1.6 million in 2012. The decrease is primarily due to interest expense capitalized in 2013, and higher interest income earned in 2013. The Company's average effective cost of borrowing for 2013 was approximately 3.3% (2012: 3.7%).

INCOME TAXES

The Company's income tax expense relating to continuing operations for 2013 results in an effective tax rate of 25.7% (2012: 29.2%). The lower effective tax rate in 2013 is the result of the proportion of earnings and losses in different tax jurisdictions. For 2013, the effective tax rate used in the computation of Adjusted Earnings per Share is 45.0% (2012: 22.0%). The higher rate in 2013 is a result of the proportion of the restructuring expenditures in different jurisdictions and the lower rate of tax applicable to the gain on the disposition of a bakery facility that was closed last year.

TRANSACTIONS WITH RELATED PARTIES

The Company's majority shareholder, Maple Leaf, and its affiliates, are related parties. Services provided by Maple Leaf to the Company under the Intercompany Management Services Agreement, as described on page 15, are generally charged on a cost recovery basis by Maple Leaf.

Fees paid to Maple Leaf in 2013 for various services under the Intercompany Management Services Agreement were $51.0 million (2012: $49.3 million). As at December 31, 2013, the total outstanding balance payable to Maple Leaf was $4.0 million (December 31, 2012: $4.8 million). These services are set out in greater detail below.

General Services

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, provision of stock awards programs, Six Sigma continuous improvement resources, senior Maple Leaf management time for operating involvement, merger and acquisition transactions, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2013 for these services pursuant to the Intercompany Management Services Agreement between the Company and Maple Leaf were $14.0 million (2012: $14.2 million).

Information Systems Services

During 2013, the Company received certain information system services from Maple Leaf for a cost of $27.9 million (2012: $26.6 million). The increase was driven by higher usage by the Company.

Engineering Services

During 2013, the Company received certain engineering services from Maple Leaf for a cost of $0.7 million (2012: $1.2 million).

Marketing Services

During 2013, the Company received certain marketing and consumer services from Maple Leaf for a cost of $4.6 million (2012: $3.5 million). The increase was driven by increased requirements by the Company.

Six Sigma Services

During 2013, Six Sigma fees charged to the Company amounted to $3.8 million (2012: $3.8 million).

Other Items

In addition to the management services agreement, the Company also is charged for the cost of certain direct services provided by Maple Leaf. This includes, but is not limited to, direct sales, supply chain management, order management, warehousing, and transportation services. These services are charged based upon time-based allocations. The occupancy costs and related direct expenses of any Company employees located at a Maple Leaf location are charged to the Company on a monthly basis based upon the proportion of the total square footage occupied by the Company.

As at December 31, 2012, the Company had a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. This facility, described further in Note 13 of the audited consolidated financial statements, was terminated in December 2013.

The Company also has foreign exchange contracts with Maple Leaf as described in Note 16 of the audited consolidated financial statements.

The Company sponsors a number of post retirement benefit plans as described in Note 9 to the audited consolidated financial statements. The Company's contributions to these plans were $10.2 million in 2013 (2012: $12.4 million).

Key management personnel are those persons having authority and responsibility for planning, directing, and controlling the activities of the Company, directly or indirectly, including any external directors of the Company. Key management personnel compensation includes amounts paid to Maple Leaf through the Intercompany Management Services Agreement.

Remuneration of key management personnel of the Company was comprised of the following expenses:

($ thousands)	**2013**	2012
Short-term employee benefits		
Salaries, bonuses, and fees	**$ 5,027**	$ 5,446
Company car allowance	**167**	187
Other benefits	**412**	416
Total short-term employee benefits	**$ 5,606**	$ 6,049
Post-employment benefits	**442**	560
Share based benefits [(i)]	**3,144**	6,336
Total remuneration	**$ 9,192**	$ 12,945

(i) *The share-based benefits were granted by Maple Leaf, with the associated costs included in the overall management fee paid to Maple Leaf.*

During 2013, key management personnel of the Company exercised 16,800 share options granted under the Maple Leaf Foods Share Incentive Plan for an amount of $0.2 million (2012: $nil).

GOVERNMENT INCENTIVES

During the year ended December 31, 2013, the Company recorded no government incentives (2012: $0.2 million).

Additionally, during the year ended December 31, 2013, the Company recorded a $2.0 million interest-free loan from the Canadian government related to the purchase of equipment for its recently commissioned bakery in Hamilton, Ontario. The loan is repayable over a period of seven years.

ACQUISITIONS AND DIVESTITURES

During the fourth quarter of 2013, the Company sold substantially all of the net assets of its Olivieri fresh pasta business to Catelli Foods Corporation for net proceeds of $116.3 million, which resulted in a pre-tax gain of $84.0 million.

During the fourth quarter of 2013, the Company sold a fresh bakery in Toronto, Ontario that was previously closed in June 2013 for gross proceeds of $12.4 million, resulting in a pre-tax gain of $11.4 million.

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials and by seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements are funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

As at December 31, 2013, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $45.9 million (2012: $94.9 million). The reduction in undrawn credit facilities in 2013 was as a result of the Company terminating a $50.0 million revolving credit facility with Maple Leaf during the year, as part of a review of its sources of financing. As at December 31, 2013, the Company had cash of $325.1 million (2012: $90.4 million), of which $203.3 million was used to pay a special dividend of $8.00 per share on January 6, 2014. There were $14.5 million in letters of credit outstanding as at December 31, 2013 (2012: $11.2 million).

To access competitively priced financing and to further diversify its funding sources, the Company entered into a three-year committed accounts receivable securitization facility. Under the facility, the Company sells certain accounts receivable, with limited recourse, to an unconsolidated structured entity owned by an international financial institution with a long-term debt rating of AA-. The receivables are sold at a discount to face value based on prevailing money market rates. The Company retains servicing responsibilities for these receivables. The structured entity finances the purchase of these receivables by issuing senior debt instruments to the financial institution, short-term mezzanine notes back to the Company and an equity interest held by the financial institution.

At December 31, 2013, the Company had $59.3 million (2012: $95.3 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company will receive cash of $23.3 million (2012: $52.3 million) and a note receivable in the amount of $36.0 million (2012: $43.0 million). Due to the timing of receipts and disbursements, the Company may, from time to time, record a receivable or payable related to the securitization facility. As at December 31, 2013, the Company recorded a net payable in the amount of $30.5 million (2012: receivable of $1.0 million). The maximum cash proceeds available to the Company under this program are $60.0 million. The facility was renewed during 2013 for a term of three years with substantially the same terms and conditions.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the year 2013. This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS"). If the facility was terminated, the Company would recognize the securitized amounts on the consolidated balance sheet and would consider alternative financing if required. The Company's maximum exposure to loss, due to its involvement with a structured entity, is equal to the current carrying value of the interest in the notes receivable due from the structured entity. The maximum potential loss that could be borne by subordinated interests in the structured entity is a $1.0 million equity interest (2012: $0.2 million).

CAPITAL EXPENDITURES

Capital expenditures in 2013 were $43.0 million, compared to $44.5 million in 2012, as higher expenditures in the U.K. bakery business, relating to increasing bagel production capacity, were more than offset by lower spending in the fresh bread and fresh pasta businesses.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $317.7 million at the end of 2013, compared to $87.1 million as at December 31, 2012. The increase in cash for the year is mainly due to proceeds from divestitures, primarily from the sale of the Olivieri business, as well as lower working capital balances.

Cash Flow from Operating Activities

Cash provided by operations in 2013 increased to $189.0 million compared to $109.1 million in 2012, primarily attributable to lower working capital balances.

Cash Flow from Financing Activities

Cash used in financing activities was $51.1 million in 2013 compared to $36.5 million in 2012, due to an increase in the rate of the quarterly dividend payment compared to the prior year.

Cash Flow from Investing Activities

Cash provided by investing activities was $92.4 million in 2013 compared to cash used of $38.3 million in 2012, primarily as a result of proceeds from the sale of the Olivieri business and an investment property.

CONTRACTUAL OBLIGATIONS

The following is a summary of certain of the Company's material contractual obligations as at December 31, 2013. This table presents the undiscounted principal cash flows payable in respect of financial liabilities:

	December 31, 2013				
($Thousands)	**Due within 1 year**	**Due between 1 and 2 years**	**Due between 2 and 3 years**	**Due after 3 years**	**Total**
Non-derivative financial liabilities					
Accounts payable and accruals	$ 204,422	$ –	$ –	$ –	**$204,422**
Due to Maple Leaf Foods Inc.	4,036	–	–	–	**4,036**
Dividends payable	216,042	–	–	–	**216,042**
Long-term debt [(i)]	568	567	591	1,199	**2,925**
Other liabilities	100	1,782	153	50	**2,085**
	$425,168	**$ 2,349**	**$ 744**	**$ 1,249**	**$429,510**
Commitments					
Contractual obligations including operating leases [(ii)]	15,435	11,267	7,393	13,457	**47,552**
	$440,603	**$13,616**	**$8,137**	**$14,706**	**$477,062**

(i) *Does not include contractual interest payments.*
(ii) *Does not include purchase orders in the normal course of business.*

Additional details concerning financing are set out in Notes 13 and 16 in the consolidated financial statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Through the normal course of its business, the Company is exposed to financial and market risks that have the potential to affect its operating results. In order to manage these risks, the Company operates under risk management policies and guidelines which govern the hedging of price and market risk in the foreign exchange, interest rate and commodity markets, and funding and investing activities.

The Company engages in hedging to manage price and market risk associated with core operating exposures and does not engage in significant trading activity of a speculative nature.

The Company's Risk Management Committee meets frequently to discuss current market conditions, to review current hedging programs and trading activity, and to approve any new hedging or trading strategies.

In order to limit the impact of market price fluctuations on operating results, core hedging programs are designated as hedging relationships and managed as part of the Company's hedge accounting portfolio.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments [i]	Held for trading

[i] *These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.*

The fair values and notional amounts of derivative financial instruments at December 31 are shown below:

	2013			2012		
		Fair value			Fair value	
($ Thousands)	**Notional amount [i]**	**Asset**	**Liability**	Notional amount [i]	Asset	Liability
Cash flow hedges						
Foreign exchange forward contracts [ii]	**$ 30,298**	**$ 335**	**$ –**	$ 11,263	$ –	$ 63
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts [ii]	**$ 17,965**	**$ –**	**$ 268**	$ 45,440	$ 39	$ –
Current		**$ 335**	**$ 268**		$ 39	$ 63
Non-current		**–**	**–**		–	–
Total		**$ 335**	**$ 268**		$ 39	$ 63

[i] *Notional amounts are stated at the contractual Canadian dollar equivalent.*
[ii] *This amount relates to related party foreign exchange contracts with Maple Leaf.*

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held for trading are recorded at fair value. The carrying value of long-term debt as at December 31, 2013, is $2.9 million (2012: $3.3 million), which approximates fair value.

For the years ended December 31, 2013 and 2012, the amount of hedge ineffectiveness recognized in earnings was nominal.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

($Thousands)	**Level 1**	**Level 2**	**Level 3**	**Total**
Assets:				
Foreign exchange forward contracts	$ –	$ 335	$ –	**$ 335**
	$ –	**$ 335**	**$ –**	**$ 335**
Liabilities:				
Foreign exchange forward contracts	$ –	$ 268	$ –	**$ 268**
	$ –	**$ 268**	**$ –**	**$ 268**

There were no transfers between levels during the years ended December 31, 2013 and 2012. Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. For financial instruments that are recognized at fair value on a recurring basis, the

Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization at the end of each reporting period.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt or internal cash flows.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment-grade credit pricing and terms.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily Net Debt to adjusted earnings before interest, tax, depreciation, and amortization ("Adjusted EBITDA") and Adjusted EBITDA to interest expense.

In addition to senior debt and equity, the Company uses operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base. During the fourth quarter of 2013, the Company declared a special dividend of an additional $8.00 per share, which was paid in January 2014.

For the year ended December 31, 2013, total equity decreased by $63.2 million to $622.3 million, as higher net earnings were more than offset by dividends declared, including the declaration of the special $8.00 per share dividend. During the same period, total cash and cash equivalents net of debt increased by $230.6 million to $317.7 million.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial conditions and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2013 approximately $0.3 million (2012: $0.5 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures. As at December 31, 2013 and 2012, the Company has not recorded any allowance for doubtful accounts. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts.

Management believes concentrations of credit risk, with respect to accounts receivable, is limited due to the generally high credit quality of the Company's major customers, large number and geographic dispersion of smaller customers, and the operation of the accounts receivable securitization facility as mentioned previously. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's two largest customers comprised approximately 26.6% (2012: 30.4%) of consolidated sales.

The Company is exposed to credit risk on its notes receivable from a financial institution that holds an equity interest in an unconsolidated structured entity, as described in Note 22 in the audited consolidated financial statements. Management believes that this credit risk is limited due to the long-term AA- debt rating held by this counterparty.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of A- or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities, and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at December 31, 2013, the Company had available undrawn credit of $45.9 million (2012: $94.9 million) under the terms of its various credit facilities. The reduction in undrawn credit facilities in 2013 was as a result of the Company terminating a $50.0 million revolving credit facility with Maple Leaf during the year, as part of a review of its sources of financing. The details of these facilities are described in Note 13 of the audited consolidated financial statements.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company uses interest rate swaps, from time to time, to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed-rate borrowings. As at December 31, 2013, 95.2% (2012: 96.9%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2013, the amount of cash received pursuant to this program was $53.8 million (2012: $51.3 million) at a weighted average interest rate of 2.1% (2012: 2.0%). The maximum amount available to the Company under this program is $60.0 million.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates. The Company enters into currency derivative agreements to manage its current and anticipated exposures in the foreign exchange markets.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars. The primary currency to which the Company is exposed is the U.S. dollar through its U.S. operations and the purchase of wheat.

The Company uses foreign exchange contracts to manage foreign exchange exposures. Qualifying derivative contracts in U.S. dollars are designated as hedges within the Company's hedge accounting portfolio, and are accounted for as cash flow hedges.

Commodity Price Risk

The Company is directly exposed to price fluctuations in commodities such as wheat, other agricultural products, and fuel. In order to minimize the impact of these price fluctuations on the Company's operating results, the Company may use fixed price contracts with suppliers, exchange-traded futures, and options.

The Company applies the "normal purchases" classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

For a comprehensive discussion on the Company's risk management practices and derivative exposures, refer to the Financial Instruments Note 16 in the consolidated financial statements.

SHARE CAPITAL AND DIVIDENDS

In 2013, the Company declared dividends of $10.00 per qualifying common share (2012: $1.70), which includes an $8.00 per share special dividend. This represents aggregate dividend declarations of $254.2 million in 2013 (2012: $43.2 million).

As of December 31, 2013 and 2012, there were 25,416,812 common shares of the Company issued and outstanding. The number of shares outstanding remains unchanged as at February 14, 2014.

OTHER MATTERS

On December 17, 2013, the Company declared a special dividend of $8.00 per share payable on January 6, 2014, to shareholders of record at the close of business on December 30, 2013. This dividend was considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

On February 26, 2014, the Company declared a dividend of $0.75 per share payable on April 1, 2014 to shareholders of record at the close of business on March 7, 2014. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

EMPLOYEE BENEFIT PLANS

The cost of pensions and other post-retirement benefits earned by employees is actuarially determined using the projected unit credit method calculated on service and Management's best estimate of expected salary escalation, retirement ages of employees, and expected health care costs. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. These estimates are determined at the beginning of the year and re-evaluated if changes in estimates and market conditions indicate that there may be a significant effect on the Company's financial statements.

During 2013, the Company recorded a pre-tax gain of $24.7 million, through comprehensive income (2012: loss of $5.2 million) related to the re-measurement of plan assets and liabilities. This included a $10.8 million (2012: $5.2 million) gain related to returns on plan assets in excess of the discount rate, a $15.4 million gain on changes in financial assumptions (2012: $15.1 million loss), primarily due to changes in the discount rate, and a further $1.5 million loss (2012: $2.2 million gain) in experience adjustments on the plan obligation. In 2012 there was a further gain of $2.5 million on change in demographic assumptions. The Company operates both defined contribution and defined benefit plans. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities that are subject to fluctuations in market prices. Discount rates used to measure plan liabilities are

based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements.

The Company's contributions are funded through cash flows generated from operations. Management anticipates that future cash flows from operations will be sufficient to fund expected future contributions. Contributions to defined benefit plans during 2013 were $5.2 million (2012: $7.3 million).

The Company plans to contribute $13.6 million to the pension plans in 2014, inclusive of defined contribution plans and the multi-employer plans.

SUBSEQUENT EVENTS

On February 12, 2014, the Company announced that Grupo Bimbo, S.A.B. de C.V. of Mexico ("Grupo Bimbo") had agreed to acquire all of the issued and outstanding common shares of the Company by way of a statutory arrangement under the *Business Corporations Act* (Ontario) (the "Arrangement"). Under the terms of the Arrangement, Grupo Bimbo has agreed to acquire from common shareholders of the Company each common share for $72.00 per share in cash or $1.83 billion in aggregate pursuant to the terms of an arrangement agreement dated February 11, 2014, between the Company and Grupo Bimbo (the "Arrangement Agreement"). The Arrangement will require the approval of at least 66⅔% of the votes cast by the shareholders of Canada Bread at a special meeting of shareholders expected to take place in early April 2014. Maple Leaf has entered into a voting support agreement with Grupo Bimbo pursuant to which Maple Leaf has agreed to vote all of its common shares of Canada Bread in favour of the Arrangement at such meeting. The Arrangement is also subject to receipt of court approval, regulatory approvals and other customary closing conditions. The transaction is expected to close in the second quarter of 2014.

On February 19, 2014, the Company sold an investment property located in the Toronto area, which was classified as an asset held for sale in the year end consolidated financial statements, for gross proceeds of $6.4 million.

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information) for each quarter in the last three fiscal years:

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales [(i)]	**2013**	**$ 346,867**	**$ 374,479**	**$ 372,579**	**$ 359,661**	**$ 1,453,586**
	2012	347,574	382,652	378,579	370,438	1,479,243
	2011	347,982	383,359	394,269	373,346	1,498,956
Net earnings (loss) from continuing operations [(i)]	**2013**	**$ 2,294**	**$ 24,487**	**$ 24,388**	**$ 33,874**	**$ 85,043**
	2012	904	26,740	23,663	24,207	75,514
	2011	(3,263)	12,656	27,591	5,132	42,116
Net earnings (loss)	**2013**	**$ 2,281**	**$ 24,529**	**$ 24,488**	**$ 106,258**	**$ 157,556**
	2012	159	26,095	23,535	21,691	71,480
	2011	(1,592)	14,278	29,630	7,131	49,447
Earnings (loss) per share from continuing operations [(i)]						
Basic and diluted [(ii)]	**2013**	**$ 0.09**	**$ 0.96**	**$ 0.96**	**$ 1.33**	**$ 3.35**
	2012	0.04	1.05	0.93	0.95	2.97
	2011	(0.13)	0.50	1.09	0.20	1.66
Adjusted EPS [(ii)(iii)]	**2013**	**$ 0.45**	**$ 1.06**	**$ 1.09**	**$ 1.00**	**$ 3.60**
	2012	0.22	1.09	0.94	1.07	3.31
	2011	0.47	0.88	1.13	0.57	3.05
Earnings (loss) per share						
Basic and diluted [(ii)]	**2013**	**$ 0.09**	**$ 0.97**	**$ 0.96**	**$ 4.18**	**$ 6.20**
	2012	0.01	1.03	0.93	0.85	2.81
	2011	(0.06)	0.56	1.17	0.28	1.95

(i) *2012 and 2011 figures have been restated for the classification of the Olivieri business as a discontinued operation, and for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"). Refer to Note 20 and Note 28, respectively, of the Company's 2013 audited consolidated financial statements.*

(ii) *May not add due to rounding.*

(iii) *Refer to Non-IFRS Financial Measures starting on page 23.*

Quarterly sales in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the fresh bread, North American frozen bakery, and U.K. bakery businesses;
- lower sales volume in the fresh bread and North American frozen bakery business;
- higher volumes in the U.K. bakery business;
- exiting fresh and in-store bakery bread production in the U.K. in March 2012; and
- exiting speciality bread production in the U.K. in the second quarter of 2013.

Quarterly net earnings in 2013 were affected by the following significant items:

- gain on sale of the Company's Olivieri business in the fourth quarter of 2013;
- price increases implemented during 2013 at the fresh bread, North American frozen bakery, and U.K. bakery businesses;
- lower volumes in the fresh bread and North American frozen bakery business;
- higher volumes in the U.K. bakery business;
- higher inflationary costs across the Company;
- improved operating efficiencies at the fresh bread business, including lower waste, the contribution of the new Hamilton fresh bakery, simplification of the product portfolio, and reorganization of the distribution network;
- duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario for the first and second quarters of 2013, after which the third and final Toronto bakery was closed and production transferred;
- improved operating efficiencies at the North American frozen bakery business;
- closure of the Walsall, U.K. bakery in March 2012 related to the exit of certain bread categories in the U.K.;
- exiting speciality bread production in the U.K. in the second quarter of 2013;
- lower selling, administrative, and general management costs due to earlier restructuring initiatives;
- an impairment charge recorded on a U.K. bakery that was sold in the second quarter of 2013;
- sale of a previously closed bakery in Toronto, Ontario in the fourth quarter of 2013;
- recognition of legal and other professional fees associated with divestitures; and
- restructuring and other related costs.

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations;
- lower sales volumes in the Company's fresh bread business;
- the sale of the fresh sandwich product line at the beginning of 2011; and
- the Company's exit from fresh and in-store bakery bread production in the U.K. in March 2012.

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bread and fresh pasta businesses;
- supply chain issues experienced in the fresh pasta business;
- inventory write-downs in the fresh pasta business during the first quarter of 2012;
- duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario;
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.;
- lower raw material costs as a result of positive hedging activities;
- lower selling, administrative, and general management costs;
- higher inflationary costs in the business;
- restructuring and other related costs; and
- settlement of a legal claim in the second quarter of 2012 related to the Company's fresh sandwich product line which was sold in 2011.

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

SUMMARY OF FOURTH QUARTER RESULTS

The following is a summary of sales by business segment:

($ thousands)	Fourth Quarter		
(Unaudited)	**2013**	2012	Change
Fresh Bakery [(i)]	**$ 224,644**	$ 234,489	(4.2)%
Frozen Bakery	**135,017**	135,949	(0.7)%
Total Sales	**$ 359,661**	$ 370,438	(2.9)%

[(i)] *Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

The following is a summary of Adjusted Operating Earnings by business segment:

($ thousands) (Unaudited)	Fourth Quarter 2013	2012 [i]	Change
Fresh Bakery [ii]	**$ 20,585**	$ 27,338	(24.7)%
Frozen Bakery	**14,245**	10,587	34.6%
Adjusted Operating Earnings	**$ 34,830**	$ 37,925	(8.2)%

[i] *2012 Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

[ii] *Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

Sales for the fourth quarter decreased 2.9% to $359.7 million compared to $370.4 million last year, or 2.4% after adjusting for discontinued categories in the U.K., and the impact of currency translation on sales in the U.S. and U.K. as lower sales volumes, primarily in the Fresh Bakery segment, were partly offset by higher pricing.

Fourth quarter Adjusted Operating Earnings decreased 8.2% to $34.8 million from $37.9 million last year, as lower earnings in the fresh bread business were only partly offset by a stronger earnings in the U.K. bakery business.

The U.K. bakery business benefited from higher pricing and lower operating and selling, general, and administrative costs, which more than offset higher raw material and inflationary costs. North American frozen bakery business earnings decreased modestly, as inflationary costs, lower volumes, and higher selling, general, and administrative expenses were mostly offset by operating improvements. In the fresh bread business, lower volumes were partly offset by increased efficiencies at the new Hamilton, Ontario bakery, simplification of the product portfolio, and the reorganization of the distribution network, all of which contributed to lower operating costs. The benefits of earlier price increases were offset by higher trade spend and inflationary costs in the quarter.

Net earnings from continuing operations was $33.9 million ($1.33 basic earnings per share) in the fourth quarter compared to $24.2 million ($0.95 basic earnings per share) last year. Adjusted Earnings per Share was $1.00 for the fourth quarter (2012: $1.07).

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists, and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste, and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental, and social issues that go beyond short-term profitability that Management believes must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers, to reduce packaging and track greenhouse gas emissions and the mileage it takes to produce and deliver food products. Increasingly, sound environmental practices are becoming a key component of maintaining a competitive advantage.

As part of its sustainability initiatives, in 2013 the Company achieved LEED® Gold certification for new construction at its new bakery in Hamilton, Ontario, which opened in 2011.

RISK FACTORS

The Company operates in the food processing sector and is, therefore, subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Risks Associated with the Acquisition by Grupo Bimbo

On February 12, 2014, and as previously noted, the Company announced that Grupo Bimbo had agreed to acquire all of the issued and outstanding common shares of the Company pursuant to the Arrangement Agreement. The Company currently expects the Arrangement to close in the second quarter of 2014. The Arrangement, however, is subject to the requirement to obtain various approvals and the satisfaction of certain closing conditions. There can be no assurance these approvals will be obtained or that these conditions will be satisfied within the time frame contemplated or at all. If these approvals are not obtained in a timely manner, or at all, or the conditions to closing are not satisfied, the Arrangement may not proceed. If the Arrangement does not proceed, the Company's business, results of operations and share price may be materially and adversely affected.

Systems Conversion and Standardization

The Company regularly implements process improvement initiatives to simplify and harmonize its systems and processes to optimize performance and reduce the risk of errors in financial reporting. The Company has largely completed an initiative to replace its legacy information systems with SAP, an integrated ERP system. The Company has dedicated considerable resources to the implementation of SAP and carefully designed an implementation plan to reduce operational disruptions. However, there cannot be any guarantee that the implementation will improve current processes or operating results, or reduce the risk of errors in financial reporting. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

Intercompany Management Services Agreement with Maple Leaf

In 2012, the Company entered into an Intercompany Management Services Agreement with Maple Leaf replacing an agreement entered into in 1995. The agreement entered into during 2012 contains substantially similar terms and conditions as the pre-existing agreement. Under the agreement, Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, product development, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management for operating involvement, mergers and acquisition transactions, information system services, engineering services, and access to bulk purchasing programs. The Company believes that this arrangement enables the Company to acquire goods and services of a higher quality or lower price than would be available to the Company on a standalone basis. However, there is no assurance that these services will be more effective, that the costs will be lower, or that the Company will be more profitable as a result of this arrangement. While the agreement allows the Company to offer employment to certain management employees of Maple Leaf who were dedicated to the provision of services to the Company in the event the agreement is cancelled, there is no assurance that such employees would accept such offer of employment and in addition, there is no guarantee that if the agreement is cancelled, that such a cancellation would not be materially disruptive to the Company and its operations or result in a material financial loss.

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near-term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have and has had a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices or, where possible or necessary, reducing costs. However, these strategies may not always be successful. The Company's U.K. operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other. Accordingly, these exchange rate fluctuations could have a material adverse effect on the Company's financial condition and results of operations.

Commodities

The Company is a purchaser of certain commodities, such as wheat and energy (fuel, natural gas, and electricity), in the course of normal operations.

Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk and may, in some circumstances, subject the Company to loss. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the prices it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Capital Expansion Projects

The Company completed the construction of a fresh bakery in Hamilton, Ontario, designed to replace a number of smaller and older facilities. Production has been transferred from three bakeries to the new bakery in Hamilton. As a result of the construction of this facility, the Company's operations are more concentrated in a fewer number of facilities, resulting in the risk that any unforeseen disruption in such facilities could have a greater effect on the operations of the Company as a whole.

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall.

The Company's products are susceptible to contamination by disease-producing organisms or pathogens. Because these pathogens are generally found in the environment, there is a risk that they, as a result of food processing, could be present in the Company's products. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance. However, the Company cannot assure that such systems, even when working effectively, will eliminate the risks related to food safety. The Company could be required to recall certain of its products in the event of contamination, adverse test results, or as precautionary measures. There is also a risk that not all of the product subject to the recall will be properly identified, and that the recall will not be successful or not effected in a timely manner. Any product contamination could subject the Company to product liability claims, adverse publicity, and government scrutiny, investigation or intervention, resulting in increased costs and decreased sales. Any of these events could have a material adverse impact on the Company's operations and financial results.

Business Acquisitions and Divestitures

While the Company's focus has been the integration of existing operations and supply chain optimization, the Company continues to review opportunities for strategic growth through acquisitions. These acquisitions may involve large transactions or realignment of existing investments and present financial, managerial, and operational challenges, which if not successfully overcome may reduce the Company's profitability. These risks include the diversion of Management's attention from existing core businesses, difficulties integrating or separating personnel and financial and other systems, and may cause adverse effects on existing business relationships with suppliers and customers, inaccurate estimates of the rate of return of acquisitions or investments, inaccurate estimates of fair value made in the accounting for acquisitions and amortization of acquired physical and intangible assets, which would reduce future reported earnings, potential loss of customers or key employees of acquired businesses and indemnities and potential disputes with the buyers or sellers. Any of these items could materially affect the Company's product sales, financial condition, and results of operations.

The Company may, from time to time, determine that certain of its operations are not required to be owned to support its core business operations and may seek to sell an operation if it believes it can realize sufficient value from its sale. The sale may divert Management's attention from existing core businesses during the sale process, create difficulties in separating personnel and financial and other systems and create adverse effects on existing business relationships with suppliers and customers. Any of these items could materially adversely affect the Company's financial condition and result in a reduction of earnings beyond the earnings of any operations to be sold. During 2013, the Company sold its Olivieri fresh pasta business. This sale does not have a material impact on the Company's future earnings beyond the earnings of the business that was sold.

Regulation

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising, and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial, state, and local authorities. The Company strives to maintain compliance with all laws and regulations and maintains all permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations, has all necessary permits and licenses, and will be able to comply with such laws and regulations and permits and licenses in the future. Failure by the Company to comply with applicable laws and regulations and permits and licenses could subject the Company to civil remedies, including fines, injunctions, recalls, or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company's financial condition and results of operations. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues in food ingredients, food safety, and market and environmental regulation that, if adopted, may increase the Company's costs. There can be no assurance that additional regulation will not be enacted. If any of these or other proposals are enacted, the Company could experience a disruption in the supply or distribution of its products, increased operating costs, and significant additional costs for capital improvements. The Company may be unable to pass on the cost increases associated with such increased regulatory burden to its customers without incurring volume loss as a result of higher prices. Any of these events could have a material adverse effect on the Company's financial condition and results of operations.

Legal Matters

In the normal course of its operations, the Company becomes involved in various legal actions relating to its commercial relationships, employment matters, and product liabilities, among other things. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends and produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify, or react to these changes or to innovate could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity for the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites, or to other matters or sites, will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of waste which is or may be considered to be hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

Employment Matters

The Company and its subsidiaries have approximately 5,400 full- and part-time employees, which includes salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each such jurisdiction having differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary

damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire or otherwise cease to have effect leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations. The Company's success is also dependent on its ability to recruit and retain qualified personnel. The loss of one or more key personnel could have a material adverse effect on the Company's financial condition and results of operations.

Pension Plan Assets and Liabilities

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The funded status of the plans significantly affects the net periodic benefit costs of the Company's pension plans and the ongoing funding requirements of those plans. Among other factors, changes in interest rates, mortality rates, early retirement rates and the market value of plan assets can affect the level of plan funding, increase the Company's future funding requirements, and cause volatility in the net periodic pension cost and the Company's financial results. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

Direct Store Delivery Disruptions

A significant portion of the Company's Fresh Bakery products are distributed through direct store delivery systems using independent distributors. Although appropriate contractual arrangements are in place with these distributors and the Company attempts to maintain good relations with its distributors, a negative change in the Company's relations with them, changes in regulations, an adverse ruling by regulatory agencies regarding the Company's independent distributorship program, or claims against the Company for the actions of the independent distributors, could materially affect the Company's results of operations and financial condition.

Competitive Industry Environment

The food industry is intensely competitive and in many product categories in which the Company operates there are low barriers to entry. Competition is based on product availability, product quality, price, effective promotions, and the ability to target changing consumer preferences. The Company experiences price pressure from time to time as a result of a competitor's promotional efforts and in product categories and markets characterized by low capacity utilization. Increased competition could result in reduced sales, margins, profits, and market share, all of which could have a material adverse impact on the Company's financial condition and results of operations.

Product Pricing

The Company's profitability is dependent in large part on the Company's ability to make pricing decisions regarding its products that on one hand encourage consumers to buy yet on the other hand recoup development and other costs associated with that product. Products that are priced too high will not sell and products priced too low will lower the Company's profit margins. Accordingly, any failure by the Company to properly price its products could have a material adverse effect on the Company's financial condition and results of operations.

Supply Chain Management

Successful management of the Company's supply chain is critical to the Company's success. Insufficient supply of products threatens the Company's ability to meet customer demands while over capacity threatens the Company's ability to generate competitive profit margins. Accordingly, any failure by the Company to properly manage the Company's supply chain could have a material adverse effect on the Company's financial condition and results of operations.

Strategic Risk Management

Successful identification and management of the strategic risks facing the Company from time to time is critical to the Company's success. Failure to properly adapt to changes in strategic risks (such as changes in technology, the food industry, customers, consumers, and competitors, among other things) could have a material adverse effect on the Company's financial condition and results of operations.

CRITICAL ACCOUNTING ESTIMATES

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgements, estimates, and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Judgements included in the financial statements are decisions made by Management, based on an analysis of relevant information available at the time the decision is made. Judgements relate to application of accounting policies and decisions related to the measurement, recognition, and disclosure of financial amounts.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included both below and in the statement notes relating to items subject to significant estimation uncertainty and critical judgements.

Long-Lived Assets Valuation

The Company performs impairment testing annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management judgement is involved in determining if there are circumstances indicating that testing for impairment is required, and in identifying their Cash Generating Units ("CGUs") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU, or CGU group to its carrying value. The recoverable amount is defined as the higher of (i) value in use; or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgement and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates, and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Measurement of Fair Values

A number of the Company's accounting policies and disclosure require the measurement of fair values, for both financial and non-financial assets and liabilities. When the measurement of fair values cannot be determined based on quoted prices in active markets, fair value is measured using valuation techniques and models. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Changes in assumptions about these inputs to these models could affect the reported fair value of the Company's financial and non-financial assets and liabilities.

When measuring fair value of an asset or liability, the Company uses market observable data as far as possible. To the extent that these estimates differ from those realized, the measured asset or liability, net earnings, and/or comprehensive income (loss) will be affected in future periods.

Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in Notes 8, 9, and 16 in the Company's audited consolidated financial statements.

Nature of Interests in Other Entities

Management applies significant judgement in assessing the nature of its interest in an unconsolidated structured entity. The Company does not hold any equity interest in the structured entity and based on the terms of the agreements under which the entity is established, the Company receives none of the returns related to their operations and is exposed to limited recourse with respect to losses.

Further information about the unconsolidated structured entity is disclosed in Note 22 in the Company's audited consolidated financial statements.

Valuation of Inventory

Management makes estimates of the future customer demand for products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code or "best before" dates are very important in the determination of realizable value of inventory. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected in future periods.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities

include the projected level of sales volume for the relevant period and customer contracted rates for allowances, discounts, and rebates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected in future periods.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of salary escalation and mortality rates. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities and service costs. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized, employee benefit liabilities and comprehensive income (loss) will be affected in future periods. Significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and benefit plan expenses are as follows:

	2013	2012
Weighted average discount rate used to calculate net benefit plan expense	**3.75%**	4.50%
Weighted average discount rate used to calculate year-end benefit obligation	**4.50%**	3.75%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**5.50%**	6.00%

Information about the sensitivity of the plan obligations to changes in assumptions is presented below:

			Increase (decrease) in defined benefit obligation		
Actuarial Assumption		**Sensitivity**	**Total pensions**	**Other post-retirement benefits**	**Total**
Discount rate	4.50%	0.25% decrease	$ 4,902	$ 40	**$ 4,942**
		0.25% increase	$ (4,747)	$ (39)	**$ (4,786)**
Rate of salary increase	3.50%	0.50% increase	$ 340	N/A	**$ 340**
Mortality	UP 94 Generational Mortality Table	Increase of 1 year in expected lifespan of plan participants	$ 4,664	$ 13	**$ 4,677**

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgement is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. To the extent that these adjustments differ from original estimates, future deferred tax assets and liabilities, net earnings, and comprehensive income (loss) will be affected.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, net earnings, and comprehensive income (loss) in future periods.

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the estimated useful lives of the assets and residual values. Changes to these estimates may affect the future carrying value of these assets, net earnings, and comprehensive income (loss) in future periods.

ACCOUNTING STANDARDS ADOPTED DURING THE PERIOD

Financial Assets and Liabilities

During the year ended December 31, 2013, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures* on a retrospective basis. These amendments contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position and subject to master netting arrangements or similar arrangements. As the Company is not offsetting financial instruments and does not have relevant offsetting arrangements, the retrospective adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company.

Consolidated Financial Statements

During the year ended December 31, 2013, the Company adopted IFRS 10 *Consolidated Financial Statements* on a retrospective basis. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that addresses consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPE")* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward, substantially unmodified, from IAS 27. The adoption of IFRS 10 did not have any impact on the Company's financial statements.

Joint Arrangements

During the year ended December 31, 2013, the Company adopted IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements which are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method. As the Company does not have any joint arrangements, the adoption of IFRS 11 did not have any impact on the Company's financial statements.

Disclosure of Interests in Other Entities

During the year ended December 31, 2013, the Company adopted IFRS 12 *Disclosure of Interests in Other Entities*. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates, and unconsolidated structured entities. Additional disclosures required as a result of the adoption of IFRS 12 are included in Note 22 of the audited consolidated financial statements.

Fair Value Measurement

During the year ended December 31, 2013, the Company adopted IFRS 13 *Fair Value Measurement* on a prospective basis. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The adoption of IFRS 13 did not have a material impact on the fair value measurements carried out by the Company. Additional disclosures required as a result of the adoption of IFRS 13 are included in Notes 8, 9, and 16 of the audited consolidated financial statements.

Presentation of Financial Statements

During the year ended December 31, 2013, the Company adopted amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income* on a retrospective basis. The amendment requires that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. Additional disclosures required as a result of the adoption of IAS 1 are presented in the consolidated statements of comprehensive income and had no impact on the financial results of the Company.

Employee Benefits

During the year ended December 31, 2013, the Company adopted the revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. The revised standard requires that the calculation of expected return on assets and interest cost be replaced with a net interest charge calculated based on the discount rate as at the beginning of the year multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the

expected return. The impact of the adoption of revised IAS 19 is further explained in Note 28 and the required additional disclosures are included in Note 9 of the audited consolidated financial statements. The standard also has other amendments clarifying the timing of recognition of termination benefits, the adoption of which had no impact on the Company.

Recoverable Amount Disclosures for Non-Financial Assets

During the year ended December 31, 2013, the Company adopted amendments to IAS 36 *Impairment of Assets* on a retrospective basis. The amendment reverses the unintended requirement in IFRS 13 *Fair Value Measurement* to disclose the recoverable amounts of all cash generating units to which significant goodwill or indefinite-life intangible assets have been allocated. Under the amendments, the recoverable amount is required to be disclosed only when an impairment loss has been recognized or reversed. The adoption of these amendments did not have a material impact to the disclosures made by the Company.

RECENT ACCOUNTING PRONOUNCEMENTS NOT YET ADOPTED

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. These amendments are to be applied retrospectively. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset, as well as clarify, when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The Company intends to adopt the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The impact of the adoption of amendments to IAS 32 is not expected to be material to the consolidated financial statements.

Levies

In May 2013, the IASB issued IFRIC 21 *Levies*. This IFRIC is effective for annual periods commencing on or after January 1, 2014, and is to be applied retrospectively. The IFRIC is applicable to all levies, other than outflows, that are within the scope of other standards and fines or other penalties for breaches of legislation. The interpretation clarifies that an entity recognises a liability for a levy when the activity that triggers payments, as identified by the relevant legislation, occurs. The Company intends to adopt IFRIC 21 in its financial statements for the annual period beginning January 1, 2014. The Company is currently assessing the impact of the adoption of IFRIC 21.

Employee Benefits

In November 2013, the IASB published amendments to IAS 19 *Employee Benefits*. The effective date for these amendments is annual periods beginning on or after July 1, 2014. These amendments are to be applied retrospectively. IAS 19 requires an entity to consider contributions from employees or third parties when accounting for defined benefit plans. IAS 19 requires such contributions that are linked to service to be attributed to periods of service as a negative benefit. The amendments to IAS 19 provide a practical expedient for simplifying the accounting in certain situations. If the amount of contributions is independent of the number of years of service, an entity is permitted to recognize such contributions as a reduction in the service cost in the period in which the service is rendered, instead of allocating the contributions to the period's service. The Company intends to adopt the amendments to IAS 19 in its financial statements for the annual period beginning January 1, 2015. The extent of the impact of the adoption of amendments to IAS 19 has not yet been determined.

Financial Instruments – Recognition and Measurement

In November 2009, the IASB issued IFRS 9, *Financial Instruments* (IFRS 9 (2009)) and in October 2010, the IASB published amendments to IFRS 9 (IFRS 9 (2010)). IFRS 9 (2009) introduces new requirements for the classification and measurement of financial assets. IFRS 9 (2010) introduces additional changes relating to financial liabilities. In November 2013, the IASB published amendments to IFRS 9 *Financial Instruments*, IFRS 7 *Financial Instruments: Disclosures*, and IAS 39 *Financial Instruments: Disclosures* (collectively, "IFRS 9 (2013)") to include a new general hedge accounting model, and allow the adoption of the treatment of fair value changes due to a Company's own credit risk on financial liabilities designated at fair value through profit or loss. Special transitional requirements have been set for the application of the new general hedging model. This amendment removes the January 1, 2015, effective date. The new mandatory effective date is expected to be determined once the classification and measurement and impairment phases of IFRS 9 are finalized. Although no effective date has been issued for this standard, early adoption is permitted. The Company does not intend to adopt IFRS 9 (2009), IFRS 9 (2010) and IFRS 9 (2013) in its financial statements for the annual period beginning on January 1, 2014. Once the IASB has issued an effective date for the standard, the Company will determine a date of adoption. The extent of the impact of adoption of IFRS 9 (2009), IFRS 9 (2010) and IFRS 9 (2013) has not yet been determined.

Novation of Derivatives and Continuation of Hedge Accounting

In June 2013, the IASB issued "Novation of Derivatives and Continuation of Hedge Accounting" (Amendments to IAS 39 *Financial Instruments: Recognition and Measurement*). The amendments add a limited exception to IAS 39, to provide relief from discontinuing an existing hedging relationship when novation that was not contemplated in the original hedging documentation meets specific criteria. The amendments are effective for annual periods beginning on or after January 1, 2014. The Company intends to adopt the amendments in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of the adoption of the amendments has not yet been determined.

Annual Improvements to IFRS (2010 – 2012) and (2011 – 2013) cycles

In December 2013, the IASB issued narrow-scope amendments to a total of nine standards as part of its annual improvements process. Amendments were made to clarify items including the definition of vesting conditions in IFRS 2 Share-based payment, disclosures on the aggregation of operating segments in IFRS 8 *Operating Segments*, measurement of short-term receivables and payables under IFRS 13 *Fair Value Measurement*, definition of related party in IAS 24 *Related Party Disclosures* and other amendments. Special transitional requirements have been set for certain of these amendments. Most amendments will apply prospectively for annual periods beginning on or after July 1, 2014, earlier application is permitted. The Company intends to adopt these amendments in its financial statements for the annual period beginning January 1, 2015. The extent of the impact of adoption of the amendments has not yet been determined.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is accumulated and communicated to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized, and reported within the time periods specified in applicable securities legislation.

The Company's Management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, is also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS.

The Company's Chief Executive Officer and Chief Financial Officer have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2013 and have concluded that such controls and procedures are effective. There have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2013 and ended on December 31, 2013 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting. The Company utilized the Committee of Sponsoring original internal control framework ("COSO 1992").

On January 1, 2014, the Company adopted the Committee of Sponsoring Organizations new internal control framework ("COSO 2013"), which is not expected to have a material impact on the Company's internal controls over financial reporting and disclosure controls and procedures.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings, Adjusted Earnings per Share, and Net Debt. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of net earnings as reported under IFRS in the audited consolidated statements of earnings to Adjusted Operating Earnings for the years then ended, as indicated below.

Management believes that this basis is the most appropriate on which to evaluate operating results, as they are representative of the on-going operations of the Company.

	December 31, 2013			
($ thousands)	**Fresh Bakery [i]**	**Frozen Bakery**	**Unallocated Costs**	**Consolidated**
Net earnings from continuing operations				**$ 85,043**
Income taxes				**29,405**
Earnings before income taxes				**$ 114,448**
Interest expense				**970**
Earnings before interest and income taxes	**$ 76,917**	**$ 28,184**	**$ 10,317**	**$ 115,418**
Other (income) expense	**(327)**	**4,390**	**(10,317)**	**(6,254)**
Restructuring and other related costs	**12,067**	**5,886**	**–**	**17,953**
Adjusted Operating Earnings	**$ 88,657**	**$ 38,460**	**$ –**	**$ 127,117**

[i] *Figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

	December 31, 2012 [i]			
($ thousands)	Fresh Bakery [ii]	Frozen Bakery	Unallocated Costs	Consolidated
Net earnings from continuing operations				$ 75,514
Income taxes				31,178
Earnings before income taxes				$ 106,692
Interest expense				1,562
Earnings before interest and income taxes	$ 90,844	$ 17,410	$ –	$ 108,254
Other (income) expense	(1,676)	41	–	(1,635)
Restructuring and other related costs	4,731	6,342	–	11,073
Adjusted Operating Earnings	$ 93,899	$ 23,793	$ –	$ 117,692

[i] *2012 Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 28 of the Company's 2013 audited consolidated financial statements.*

[ii] *2012 figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

	December 31, 2011 [i]			
($ thousands)	Fresh Bakery [ii]	Frozen Bakery	Unallocated Costs	Consolidated
Net earnings from continuing operations				$ 42,116
Income taxes				7,261
Earnings before income taxes				$ 49,377
Interest expense				1,052
Earnings before interest and income taxes	$ 72,491	$ (22,063)	$ –	$ 50,429
Other (income) expense	(44)	(365)	–	(409)
Restructuring and other related costs	14,842	31,497	–	46,339
Adjusted Operating Earnings	$ 87,289	$ 9,069	$ –	$ 96,359

[i] *2011 Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 28 of the Company's 2013 audited consolidated financial statements.*

[ii] *2011 figures exclude the results of the Olivieri business in the Fresh Bakery segment. Olivieri results are reported as discontinued operations as disclosed in Note 20 of the Company's 2013 audited consolidated financial statements.*

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders. It is adjusted for items that are not considered representative of on-going operational activities of the business and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the audited consolidated statements of earnings for the years then ended to Adjusted Earnings per Share. Management believes this basis is the most appropriate on which to evaluate financial results as they are representative of the on-going operations of the Company.

	December 31,		
($ per share)	**2013**	2012 [i]	2011 [i]
Basic earnings per share from continuing operations	**$ 3.35**	$ 2.97	$ 1.66
Items included in other income not considered representative of on-going operations [ii]	**$ (0.28)**	$ –	$ –
Restructuring and other related costs [iii]	**$ 0.54**	$ 0.34	$ 1.39
Adjusted Earnings per Share [iv]	**$ 3.60**	$ 3.31	$ 3.05

[i] *2012 and 2011 basic earnings per share and Adjusted Earnings per Share have been restated for the classification of the Olivieri business as a discontinued operation and the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"). Refer to Notes 20 and 28, respectively, in the audited consolidated financial statements.*

[ii] *Includes gains/losses associated with non-operational activities, including gains/losses related to restructuring activities, business combinations, discontinued operations, and assets held for sale, all net of tax.*

[iii] *Includes per share impact of restructuring and other related costs, net of tax.*

[iv] *May not add due to rounding.*

Adjusted Earnings Before Interest, Taxes, Depreciation, and Amortization

Adjusted EBITDA is calculated as earnings from operations and before interest and income taxes plus depreciation and intangible asset amortization (adjusted for items that are not considered representative of on-going operational activities of the business) and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The following table provides a reconciliation of net earnings as reported under IFRS in the audited consolidated statements of earnings for the years then ended to Adjusted EBITDA. Management believes Adjusted EBITDA is useful in assessing the performance of the Company's on-going operations and its ability to generate cash flows to fund its cash requirements, including the Company's capital investment program.

	December 31,		
($ thousands)	**2013**	2012 [i]	2011 [i]
Net earnings from continuing operations	**$ 85,043**	$ 75,514	$ 42,116
Income taxes	**29,405**	31,178	7,261
Earnings before income taxes from continuing operations	**$ 114,448**	$ 106,692	$ 49,377
Interest expense	**970**	1,562	1,052
Items included in other income not representative of on-going operations [ii]	**(6,079)**	–	–
Restructuring and other related costs	**17,953**	11,073	46,339
Depreciation and amortization	**48,376**	45,541	44,319
Adjusted EBITDA	**$ 175,668**	$ 164,868	$ 141,087

[i] *2012 and 2011 figures have been restated for the classification of the Olivieri business as a discontinued operation and the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"). Refer to Notes 20 and 28, respectively, in the audited consolidated financial statements.*

[ii] *Includes gains/losses associated with non-operational activities, including gains/losses related to restructuring activities, business combinations, discontinued operations, and assets held for sale.*

Net Debt (Cash)

The following table reconciles Net Debt (Cash) as disclosed in this Management's Discussion and Analysis to IFRS amounts in the audited consolidated balance sheets as at the dates indicated below. The Company calculates Net Debt as long-term debt and bank indebtedness, less cash and cash equivalents.

	December 31,		
($ thousands)	**2013**	2012	2011
Bank indebtedness	**$ 4,408**	$ –	$ 3,153
Current portion of long-term debt	**568**	358	2,452
Long-term debt	**2,357**	2,921	1,634
Sub-total	**$ 7,333**	$ 3,279	$ 7,239
Cash and cash equivalents	**(325,062)**	(90,415)	(59,223)
Net cash	**$ (317,729)**	$ (87,136)	$ (51,984)

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts, and projections about the industries in which the Company operates and beliefs and assumptions made by Management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates, and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning the expected timing of the completion of the sale of the shares of the Company to Grupo Bimbo (there can be no assurances that any transaction will be completed), expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, , expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S., and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied, or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied, or forecasted in such forward-looking information include, among other things:

- risks associated with the acquisition by Grupo Bimbo;
- risks associated with changes in the Company's shared systems and processes;
- risks associated with the management service agreement with Maple Leaf;
- the Company's exposure to currency exchange risks;
- ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- impact of international events on commodity prices and the free flow of goods;
- risks associated with a consolidating retail environment;
- risks related to capital expansion projects;
- risks posed by food contamination, consumer liability, and product recalls;
- risks related to acquisitions and divestitures;
- risks posed by compliance with extensive government regulation;
- risks posed by litigation;
- impact of changes in consumer tastes and buying patterns;
- impact of extensive environmental regulation and potential environmental liabilities;
- risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements, and recruiting and retaining qualified personnel;
- impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- risks associated with the Company's independent distributors;

- risks posed by competition;
- risks associated with pricing the Company's products;
- risks associated with managing the Company's supply chain; and
- risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" presented previously in this document. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events, or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, will be available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX: MFI), is a leading manufacturer and distributor of fresh bakery products and frozen par-baked products. The Company had 2013 sales of $1.5 billion and employs approximately 5,400 people at its operations across North America and in the U.K.



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